Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a fixed costs that *Ocean Vibes* are likely to pay. • Wages/salaries paid to the tour guides **(1)** • Rent/fees paid to the tourist resort **(1)** **NB** Do not accept a reason that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** method of primary research *Ocean Vibes* may use. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a method of primary research *Ocean Vibes* may use • Dolphin tour customer survey **(1)** • Scientist focus group **(1)** **NB** Do not accept a method that is not in the context of *Ocean Vibes* **Accept any other appropriate response.**	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** advantage to a business of having high market share. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for one advantage to a business of having a high market share, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • The business is likely to have loyal customers **(1)** as the business is performing better than competitors in terms of sales volume/revenue **(1)** leading to higher potential profitability **(1)** • Higher market share can generate higher sales **(1)** this would allow the business to benefit from economies of scale **(1)** reducing the total costs of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of a business having a high market share with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** advantage to a business of using e-commerce to sell its products. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for an advantage to a business of using e-commerce to sell its products, plus 2 further marks for explaining this advantage, for a maximum of 3 marks. • A business may reduce its costs **(1)** as it may not have to pay for a retail store/office **(1)** leading to increased levels of profit for the business **(1)** • More customers will use an online business rather than going to a store **(1)** this will increase the revenue of the business **(1)** leading to increased market share **(1)** **NB** No marks are awarded for a definition. Answers that list three advantages of using e-commerce to sell its products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why shareholders would be interested in the financial documents of a business. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why shareholders would be interested in the financial documents of a business, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may review the financial documents to assess if the business is making a profit **(1)** as the shareholder is interested in gaining a return on their investment **(1)** which may help them to decide to either sell their shares or buy more shares in the business **(1)** • To compare the financial performance of the business **(1)** in order to identify cost savings **(1)** which can help to improve the profitability of the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why shareholders would be interested in the financial documents of a business, with no explanation will get a maximum of 1 mark **Accept any other appropriate response.**	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	The owners of *Ocean Vibes* plan to grow the business. They are considering two options to finance the growth: **Option 1:** venture capital **Option 2:** loan capital. Justify which **one** of these two options the owners of *Ocean Vibes* should choose **Indicative content**	**Mark**
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – *Ocean Vibes* may appeal to an individual who wishes to invest in a business that is concerned with the welfare of birds and dolphins • **Option 2** – *Ocean Vibes* could use a loan to buy new boats to enable it to offer more boat tours **AO3** • **Option 1** – The venture capitalist may offer advice to the young scientists to help them increase the revenue of *Ocean Vibes* • **Option 2** – It is possible that a loan for a large amount of money can be received from the bank quickly to enable *Ocean Vibes* to buy new boats for its business **AO4** • **Option 1** – However, the venture capitalist may wish to take some control of the business which may cause disagreement within the business • **Option 2** – However, interest will be paid on the loan in addition to the loan amount which will increase costs and possibly reduce profitability	**(9)**

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context, although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Place: distribution channels and e-commerce

Answer 1 of 6 · Question 2 part d · 3 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **span of control.** **Answer**	Mark

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of e-tailers. • The use of electronic systems to sell goods/services (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why *HRMW* would use robotics in its production, plus 1 further mark for linking it to the context of the question. • *HRMW* uses robots in the manufacture of these sportswear because they are more accurate than employees (1) reducing the number of errors in the products distributed to customers (1). They work 24/7 without having a break (1), which means that more sports products are made (1). **NB** Do not accept a reason that is not in the context of *HRMW*. **Accept any other appropriate response.**	**(2)**

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 5 000 – 3 000 = 2 000 (1) 300 000/2 000 = 150 (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Using break-even charts assumes that all the tennis racquets are sold. • The simple chart assumes that the costs and revenues for the tennis racquets can be represented by a straight line. **AO3** • The chart does not show if some of the tennis racquets are kept as stock items or if some of them remain unsold. • There may be other factors that need to be considered. Increased output may involve paying staff additional wages to produce more tennis racquets.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – *HRMW* has the retained profit and this could be used straight away to pay for the R&D for the tennis racquets. • Option 2 – Selling off assets that *HRMW* owns and no longer uses makes good business sense. **AO3** • Option 1 – Because *HRMW* has retained profits the manufacture of tennis racquets can begin immediately and bring in revenue. • Option 2 – Selling assets means that *HRMW* has another source of finance and does not need to use retained profit or take out a loan. **AO4** • Option 1 – However, there may be insufficient retained profit and *HRMW* would then have to take out a loan which could be expensive. • Option 2 – However, if *HRMW* sells assets there is no guarantee that it can do so in time, which means it may have to find alternative sources of funds thereby, wasting time producing the tennis racquets for sale.	**(9)**

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Place: distribution channels and e-commerce

Answer 2 of 6 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2 (a)	A02 - 1 mark Award 1 mark for a valid external factor in the context of the business. • A change in demand patterns could lead to people buying more organic farmed produce (1). Accept any other appropriate response.	**(1)**

Question Number	State one reason why NOF might use other retailers to sell its products Answer	Mark
2 (b)	A02 - 1 mark Award 1 mark for a valid reason of using retailers in the context of the business. • NOF is able to sell its organic farmed produce to other outlets giving it a wider market (1). Accept any other appropriate response.	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Explain one benefit to a business of using secondary market research Answer	Mark
2 (c)	A01 - 3 marks Award 1 mark for identification of a benefit to a business of using secondary market research, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • Businesses save money by not carrying out the research themselves (1) as the information is freely accessible on the internet (1) and they can access a large amount of information at no cost (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Explain one limitation of a cash flow forecast when making business decisions Answer	Mark
2 (d)	A01 - 3 marks Award 1 mark for identification of a limitation of a cash flow forecast, plus 2 further marks for explaining this limitation, for a maximum of 3 marks. • A limitation is that it is a forecast not actual figure (1). The forecast does not show what happens if goods are not sold (1) or provide a contingency plan if this occurs (1). NB Answers that list three limitations with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Explain one benefit to a business of using crowdfunding as a source of finance Answer	Mark
2 (e)	A01 - 3 marks Award 1 mark for the identification of a benefit of using crowdfunding as a source of finance, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • Crowdfunding can be a fast way to raise finance (1) from many small investors (1) when no other lender may be available (1) NB Answers that list three benefits with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	NOF is considering two options to introduce the product into the market: Option 1: offering a low introductory price for three months Option 2: selling at the same price as competitors. Justify which one of these two options NOF should choose. Indicative content	Mark
2 (f)	AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks AO2 • Option 1 – By offering an introductory price could entice shoppers in the farm shop to try the popcorn. • Option 2 – Customers might recognise the farm's name so will buy the popcorn when comparing to its competition. AO3 • Option 1 – This could lead to an increase in sales due to the low price and will increase revenue. • Option 2 – NOF could see an increase in customers as it is a local brand that people trust so are more willing to buy a new product that it launches. AO4 • Option 1 – However, the profit on each bag of popcorn will be low even though sales may increase so in the short-term profits might suffer. • Option 2 – However, as they do not have an established brand of popcorn customers may choose to buy a more popular branded popcorn they know.	**(9)**

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4–6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7– 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Place: distribution channels and e-commerce

Answer 3 of 6 · Question 2 part b · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Define the term remuneration Answer	Mark

Type MS · Place: distribution channels and e-commerce

Answer 4 of 6 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

4 (a)	**AO2 - 2 marks** 80 282 – 12 692 = 67 590 **(1)** 67 590/330 606 x 100 = 20.44 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the importance of place to *Irsi Chocolatier*. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • They are located in a busy area with other competitors nearby and want to make sure customers are drawn to them over the other chocolate shops in the area so will not want to move the location of the physical shop • As a small business with only 3 employees, it may want to consider its online place as well as its physical chocolate shop to remain competitive **AO3** • With the business having started in 1989 it is important to have the shop in the same location so locals and tourists come back year after year if they have enjoyed the chocolates they have bought from the shop • With it offering a local delivery service and the market changing *Irsi Chocolatier* may put some importance on improving their online presence to allow customers to buy from the website as well as find information about its products	**(6)**

Type MS · Place: distribution channels and e-commerce

Answer 4 of 6 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Place: distribution channels and e-commerce

Answer 4 of 6 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the impact of *Irsi Chocolatier* using financial methods of motivation on its employees. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A bonus can be given to employees • A promotion could be awarded to an employee **AO2** • This can motivate the employees is they meet their targets of making and selling a certain amount of chocolate each month • *Irsi Chocolatier* could promote the hardest working employee in the chocolate shop **AO3** • This may push employees to work harder and produce/sell more products in order to meet their targets therefore increasing the revenue for *Irsi Chocolatier* • This will motivate the employee as they will be given additional responsibilities with a potential pay increase making them more loyal to the business as they are being promoted for their work **AO4** • However, if the same employee keeps getting the bonus each month, then this may demotivate the rest of the employees if they feel they do not have a chance at getting the bonus leading to a decrease in productivity • However, this would only be for one employee as the business only currently has three so the other two may end up feeling demotivated and unrecognised possibly leading to an increase in staff turnover and creating a recruitment issue for *Irsi Chocolatier*	**(12)**

Type MS · Place: distribution channels and e-commerce

Answer 4 of 6 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Place: distribution channels and e-commerce

Answer 4 of 6 · Question 4 part b · 6 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as sales is shown on the statement of comprehensive income **B** is not the correct answer as cost of sales is shown on the statement of comprehensive income **D** is not the correct answer as gross profit is shown on the statement of comprehensive income	**(1)**

Question Number	Which **one** of the following is an element of the marketing mix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** **B** is not the correct answer as a partnership is when 2 or more people own a business together **C** is not the correct answer as production is the manufacturing of goods **D** is not the correct answer as profit is the difference between total revenue and total costs	**(1)**

Question Number	**(iii)** Which **one** of the following is the total monthly cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D** **A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit **B** is not the correct answer as it is the sum of fixed costs plus output quantity **C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following job roles is most likely associated with capital-intensive production? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B** **A** is not the correct answer as the role of a hairdresser is labour intensive **C** is not the correct answer as the role of a fruit picker is labour intensive **D** is not the correct answer as the role of a chef is labour intensive	**(1)**

Question Number	Which **one** of the following is an internal source of finance? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is C** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as venture capital is an external source of finance **D** is not the correct answer as crowdfunding is an external source of finance	**(1)**

Question Number	Which **one** of the following is the weekly break-even point? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C** **A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500 **B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000 **D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Define the term **profit.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • The amount remaining when total costs are deducted from total revenue **(1)**	**(1)**

Question Number	Define the term **span of control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **span of control**. • The number of workers controlled by one manager **(1)**	**(1)**

Question Number	State **one** likely variable cost for *AWG.* **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for one variable cost for *AWG* • *AWG* will have to pay for the cost of wool used to make the jumpers **(1)** **NB** Do not accept a variable cost that is not in the context of *AWG*. **Accept any appropriate response.**	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the new price of the jumper in the promotional sale. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 329 x 0.25 = 82.25 **(1)** 329 - 82.25 = 246.75 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business that operates as a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any appropriate response.**	**(3)**

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Analyse the advantages to *AWG* of using e-commerce to sell its products. **Indicative content**	**Mark**
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *AWG* sells its shirts on-line to customers based in other countries • *AWG* uses a website to advertise its baby clothes to attract new customers **AO3** • This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue. • This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries.	**(6)**

Level	**Mark**	**Descriptor**
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Place: distribution channels and e-commerce

Answer 5 of 6 · Question 1 part g · 6 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	State **one** non-financial method *AWG* may use to motivate its employees. **Answer**	**Mark**

Type MS · Place: distribution channels and e-commerce

Answer 6 of 6 · Question 1 part g · 6 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Capital intensive** **A –** Kaizen - this is not correct because it is a method of lean production **B** – Job production - this is not correct because it is usually labour intensive **C** – Just-in-time - this is not correct because this is a method of lean production	**(1)**

Question Number	Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Penetration** **A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with **B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs **D –** Cost plus - this is not correct because it is adding a mark-up to the product	**(1)**

Type MS · Place: distribution channels and e-commerce

Answer 6 of 6 · Question 1 part g · 6 marks

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Question Number	Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **(1)** Select **one** answer **The only correct answer is B – Paying suppliers later** **A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow **C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow **D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows	**(1)**

Question Number	Which **one** of the following is a financial business aim? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C – Survival** **A –** Challenge - this is not correct because it is a non-financial business aim **B –** Independence - this is not correct because it is a non-financial business aim **D –** Control - this is not correct because it is a non-financial business aim	**(1)**

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Question Number	Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 30 855.00 CNY** **A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £ **B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles **C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35	**(1)**

Question Number	Using **Figure 1** which **one** of the following is correct for *CCT*? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – it made a profit of 412 658 CYN** **A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs **B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue **D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs	**(1)**

Question Number	Define the term **branding**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **branding**. • A name or logo that distinguishes it from its competition **(1)**	**(1)**

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Question Number	Define the term **autonomy**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **autonomy**. • Employees are given the authority to make decisions about how they work **(1)**	**(1)**

Question Number	State **one** method of secondary market research *CCT* could use to collect market data. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method of secondary market research *CCT* could use to collect market data. • The internet to search for other bicycle-hire businesses in the local area **(1)** **NB** Do not accept a way that is not in the context of *CCT*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 561 258/ 233 098 **(1)** = 2.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Question Number	Explain **one** benefit to the business owner of operating as a private limited company. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Question Number	Analyse the concerns *CCT* may have of introducing this app for its customers. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers might be reluctant to download the app for a one-off biking experience • It can be costly for *CCT* to introduce an app where customers can book the bicycles. **AO3** • Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday • *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app	**(6)**

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Answer 6 of 6 · Question 1 part g · 6 marks

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Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Question Number	State **one** financial method of motivation *CCT* could use with its employees. **Answer**	**Mark**